

INTERNAL STRATEGY SUBMISSION — CATEGORY LEAD CANDIDACY

Fixing the **physical constraints** that are quietly taxing every liquid order.

A 13-week plan to convert Drinks & Juices from a GMV-optimized shelf into a Contribution Margin engine — by re-engineering rider payload economics and dark-store slot allocation, not by discounting harder.

₹165.7 CrANNUALIZED MARGIN
UNLOCK

2,443

STORES IN SCOPE

13 wks

EXECUTION RUNWAY

134 SKUs

DIGITAL SHELF CAPTURE

The dual constraint call

01

Blinkit's Drinks & Juices category is optimized for GMV, not Contribution Margin 2 (CM2). Running entirely on a 1P model, Blinkit carries the working capital, dark-store real estate, and delivery payload for every assortment call — and two physical constraints are quietly bleeding true margin.

CONSTRAINT 01 — RIDER PAYLOAD

The free delivery trap. Fees run ₹20 under ₹99 **plus** ₹30 under ₹199 (so a cart under ₹99 pays both, ₹50 total), and free above ₹199 — customers pad carts with heavy, low-margin liquids to clear the threshold. Blinkit absorbs an estimated ₹45 variable fulfillment cost on a 4kg+ cart that returns almost nothing, driving a deeply negative CM2 order at peak hours.

CONSTRAINT 02 — COLD-CHAIN SLOT

The duplication crisis. Functional hydration is the highest-value sub-shelf, but it's bloated — up to 30 near-identical coconut facings per store. Brand-funded discounts keep each unit profitable, but duplication locks up scarce cold-chain slots without growing the category.

◆ The call

Over 13 weeks, execute a bifurcated restructuring. **First**, prune 10 redundant functional facings per store to reclaim cold-chain slots for high-margin mixology and own-label RTD coffee. **Second**, use the untouchable ₹199 free-delivery UI itself as the lever — forcing high-margin basket attachment (premium ice, snacks) whenever a heavy bulk liquid enters the cart, recovering order-level CM2 without touching the delivery fee policy customers already trust.

₹45

FULFILLMENT COST ABSORBED PER
HEAVY FREE-DELIVERY ORDER

30

NEAR-DUPLICATE COCONUT WATER
FACINGS PER STORE

₹165.7 Cr

BASE-CASE ANNUALIZED REVENUE &
MARGIN UNLOCK

◆ Research scope & methodology

Built exclusively on primary platform data, filed financials, and computed unit economics — deliberately avoiding high-level blog aggregation.

01

Digital shelf capture

Scraped Blinkit's live catalog on 18 Aug 2026 — 134 SKUs across 13 sub-shelves.

02

Cross-platform benchmarking

Verified pricing for identical SKUs on Blinkit, Zepto, Swiggy Instamart — a three-way tie at ~₹90.

03

Financial modeling

Eternal Ltd Q1 FY27 (₹17,132 Cr GOV, 2,443 stores) and Q4 FY26 (₹525 AOV, 27.2M MTU) into a CM2 waterfall.

04

Footprint mapping

Independent snapshot of ~4,081 dark stores across platforms (early-mid 2026) for cluster analysis.

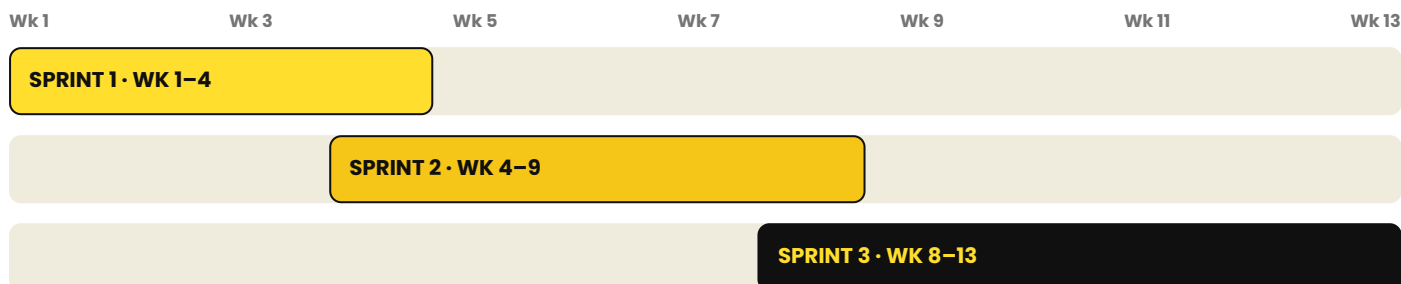
WHY THIS MATTERS

Every number in the CM2 waterfall and the ₹165.7 Cr sizing traces back to one of these four primary inputs — not industry averages or secondary press estimates.

The 13-week execution plan

02

This program treats assortment, UI friction, and format policy as direct growth levers — not as separate merchandising and product workstreams. Three sprints, each targeting one physical constraint in sequence, with overlap built in for handoff.



SPRINT 1 • WEEKS 1-4

Pruning & shelf redeployment

Fixing the physical slot constraint in the dark store.

- ◆ **Diagnose before killing** — execute a strict prune of the coconut and juice tail. Remove 10 near-duplicate functional facings per store that fall below the bottom 20% of velocity thresholds.
- ◆ **Head / Torso / Tail redeployment** — reallocate freed cold-chain slots to a Premium Mixology block (Sepoy & Co, Svami) and an RTD Coffee block.
- ◆ **Placement discipline** — deploy the new blocks exclusively in top-tier "Head" stores within affluent catchments, not across the full fleet.

SPRINT 2 • WEEKS 4-9

Mixology threshold & forced attachment

Fixing rider payload while preserving the ₹199 free-delivery promise.

- ◆ **Intent types & placement** — impulse singles under ₹60 are restricted to "attach-only" carousel placement. They cannot be solo-promoted.
- ◆ **Dynamic mixology UI** — when a heavy, low-margin liquid (2L cola, 5L water) enters the cart, the "Add ₹X for free delivery" bar filters out other heavy liquids and triggers a high-friction intervention prioritizing premium ice, tonics, or salty snacks.
- ◆ **The economics** — a targeted 25% forced-attach conversion on near-zero-cost premium ice subsidizes the ₹45 delivery cost across 19M+ heavy carts per year.

SPRINT 3 • WEEKS 8-13

Consumer hydration habit loop

Transitioning from ad-hoc acquisition to structural retention via format policy.

- ◆ **Consumer multipacks** — single-serve impulse beverages yield negative order-level margins alone. Launch bundled "hydration 6-packs" (coconut water, RTD coffee) built for household stocking.
- ◆ **Triggered replenishment** — deploy a lifecycle drip anticipating depletion, e.g. a reorder nudge on Day 5 of a 6-pack cycle.
- ◆ **The tactic** — target a conservative 1% of the 27.2M MTU base, converting erratic logistics liabilities into a predictable weekly habit loop at ~₹900/yr per converted user.

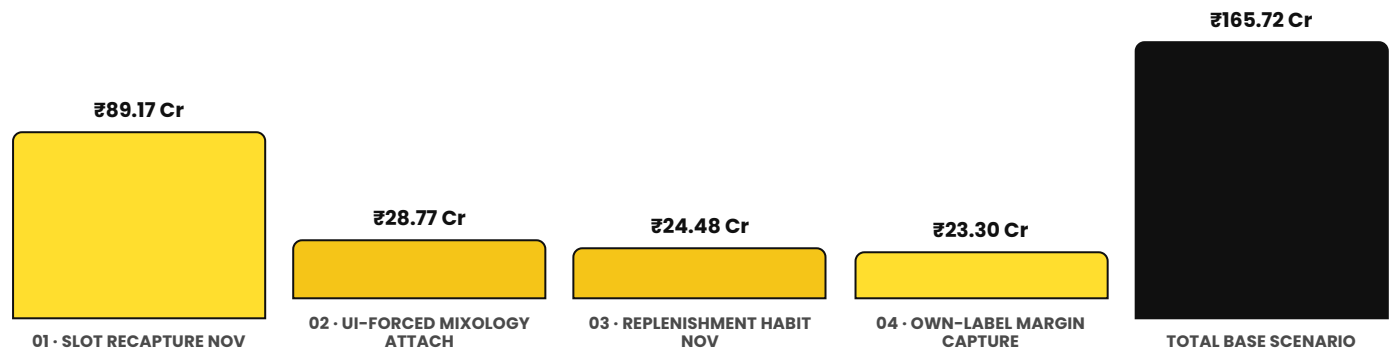
WHY THIS SEQUENCING

Sprint 1 must land first because it creates the physical shelf space Sprint 2's cross-sell assortment (premium ice, mixers) needs to exist in-store. Sprint 3 only starts once Sprint 2's UI mechanics are live, so the multipack habit loop can piggyback on the same delivery and UI infrastructure rather than a separate system.

Sizing the revenue & margin unlock

Fixing the dark store's physical constraints unlocks an estimated ₹165.72 Cr in annualized revenue and margin — derived directly from platform metrics (Eternal Q1 FY27: ₹17,132 Cr GOV, 2,443 stores) across four levers, on a 3x3 sensitivity grid.

Drinks & Juices = 8% of NOV → ₹5,482 Cr/yr Functional hydration = 17% of category → ₹932 Cr/yr



LEVER	MECHANISM	ANNUALIZED VALUE
Slot recapture NOV SPRINT 1	Prune 10 duplicate cold-chain facings/store across 2,443 stores; redeploy to higher-velocity mixology & RTD coffee SKUs at ~₹100 incremental NOV per recaptured slot/day	₹89.17 Cr
UI-forced mixology attach SPRINT 2	19.1M low-margin "heavy carts" per year at a 25% UI forced-attach conversion on a ₹60 premium ice/tonic cross-sell	₹28.77 Cr
Replenishment habit NOV SPRINT 3	Convert a conservative 1% of 27.2M MTU into a weekly multipack replenishment habit, at ~₹900/yr incremental spend per converted user	₹24.48 Cr
Own-label margin capture SPRINT 1	Capture 10% of the functional hydration cluster with a 1P own-label (leveraging existing "Whole Farm" capability) at +25 pts gross margin over branded equivalents	₹23.30 Cr

BASIS OF ESTIMATE

Every lever above is strictly derived from operational, assortment, and UI mechanisms fully within the platform's control — not price-war or trade-funding assumptions.

◆ The regional cluster playbook

Quick commerce economics are decided locally — climate, beverage culture, and competitive density vary by cluster.

C1 • NCR — Blinkit	339 stores
C1 • NCR — Zepto	221 stores
C3 • Bengaluru total	438 stores, no leader
C4 • Tier-1 — Blinkit	~131 stores

C1 • NCR FORTRESS

Blinkit's stronghold

339 vs. Zepto's 221 • Blinkit owns outer Delhi, Zepto holds South/Central pockets

Playbook — Launch the 90-day pilot here; premium mixology strictly in South Delhi/Gurgaon head stores.

C2 • WEST METROS

Fragmented, space-tight

~167 Blinkit stores in a 3-way market; expensive real estate, smaller dark stores

Playbook — Prune bulky low-density SKUs (10L cans); deepen the nightlife mixer/bar program.

C3 • SOUTH TECH METROS

Most contested market

Bengaluru: 438 stores, no leader • Zepto leads Hyderabad (~310) & Chennai

Playbook — Skip the coconut price war (street vendor anchors at ₹40–60); pivot to RTD Cold Coffee & Kombucha.

C4 • TIER-1 NON-METRO

Near-monopoly, retention

Lucknow, Jaipur, Ahmedabad — Blinkit holds ~131 stores across top three

Playbook — Focus dairy replenishment (chaas/lassi) before Swiggy Instamart expands.

◆ The payload-to-margin paradox

Deep discounts on functional beverages are brand-funded, so unit-level gross margins stay intact — the real inversion shows up in Contribution, AOV, and UPT.

CART BUILD	VALUE
2L mainstream cola (unit 1)	₹95
2L mainstream cola (unit 2, for free delivery)	₹95
Low-value snack top-up	₹10
Total AOV — clears free delivery	₹200

THE NEGATIVE CM2 RESULT

4kg+ of liquid at ~18% gross margin on ₹190 of soda, against a ₹45 absorbed fulfillment cost — a **negative CM2 order** that monopolizes rider payload at peak hours and degrades SLA for lighter carts.

The strongest cases against this recommendation, stated honestly.

01 • Cart abandonment via UI friction

THE RISK

Forcing an ice or mixology cross-sell to hit ₹199 might frustrate users and cause cart abandonment.

THE COUNTER

Buying soda for a weekend occasion is high-intent, planned behavior — users add the ice to secure free delivery they already wanted.

02 • Trade-term retaliation on pruning

THE RISK

Pruning 10 redundant coconut facings might agitate FMCG partners who view quick commerce as a billboard.

THE COUNTER

Sole-brand facings are never touched — only near-duplicates from fragmented tail brands; volume consolidates into surviving Hero SKUs.

03 • The falsification trigger (kill condition)

If Week 1 data shows the 10 targeted tail SKUs actually drive unique, non-cannibalized acquisition — highly loyal buyers who only purchase that brand — the Pareto assumption is falsified. Pruning is **immediately paused** to protect acquisition.

◆ Leading indicators & decision rules

Measured through a 90-day experiment across 50 matched dark stores in NCR, stratified by Head / Torso / Tail catchments.

NORTH STAR METRIC

Order-level CM2 for carts >2L of liquid — shift from negative to breakeven / positive.

SECONDARY METRIC

Category NOV per cold-chain slot per day — target +10% vs. control.

GUARDRAILS

Total category NOV cannot drop below -2%; in-stock availability stays ≥95%.

DECISION RULE

Scale nationally if heavy-cart CM2 reaches breakeven, NOV per slot increases by 10%, and all guardrails hold clean.